CANDY SALES ANALYSIS

INSIGHTS AND CONCLUSIONS

Revenue Insights (Per Product)

1. **Top product (Wonka Bar – Triple Dazzle Caramel)** contributes **~20.2% of total revenue**, making it the single highest revenue driver.
2. The **top 3 products together contribute ~58.6% of total revenue**, showing strong dependency on a few key products.
3. The **top 5 products contribute ~92.9% of total revenue**, indicating an extreme **revenue concentration (Pareto effect)**.
4. **Lickable Wallpaper** is the only mid-tier product, contributing **~5.5%**, while all remaining products individually contribute **less than 1% each**.
5. The bottom ~10 products together contribute **<2% of total revenue**, highlighting a long tail of low-performing products.
6. Overall, the business is **heavily skewed**, where **~33% of products (top 5 out of 15)** generate **~93% of total revenue**, indicating high dependency risk but also clear focus areas for growth.

Yearly Sales Growth Insights

1. Sales increased from **7581 (2021) to 7979 (2022)**, showing a **~5.25% growth**, indicating a slow but positive start.
2. From **2022 to 2023**, sales jumped to **9837**, which is a strong **~23.3% growth**, showing clear business acceleration.
3. The biggest growth is seen from **2023 to 2024**, where sales reached **12476**, a significant **~26.8% increase**, indicating rapid expansion.
4. Overall, sales grew by **~64.6% from 2021 to 2024**, showing strong long-term business growth.

5. Growth trend is **consistently upward every year**, with no decline, which reflects **stable and improving performance**.
6. The increasing growth rate (5% → 23% → 27%) shows that the business is **not just growing but growing faster each year**.

Seasonal Trends (Monthly Insights)

1. **November (Month 11)** is the highest sales month, contributing **~15.3% of total annual sales**, followed by **December (~14.4%)**.
2. The **last quarter (Oct–Dec)** alone contributes **~37.9% of total sales**, showing a strong **year-end peak season**.
3. **September (13.4%) and October (8.2%)** also perform well, indicating that sales start rising before the peak season.
4. The **lowest sales occur in February (~2.8%) and January (~3.9%)**, making them the weakest months.
5. The **first quarter (Jan–Mar)** contributes only **~14.8% of total sales**, showing a clear **slow start to the year**.
6. Overall, sales are **highly seasonal**, with a strong spike in the **last 4 months contributing ~51.3% of total annual sales**.

Target vs Actual Performance Insights

1. **Chocolate division** performed exceptionally well, achieving **135.21% of its target**, meaning it exceeded the target by **~35.21%**.
2. **The other division** achieved only **40.93% of its target**, missing the target by **~59.07%**, showing underperformance.
3. **Sugar division** performed extremely poorly, achieving just **0.91% of its target**, meaning it missed the target by **~99.09%**.
4. Out of all divisions, only **1 out of 3 divisions (33.3%) met/exceeded targets**, while **66.7% failed to achieve targets**.
5. Performance is **highly imbalanced**, with Chocolate driving most of the success while other divisions lag significantly.

6. The huge gap between best (**135%**) and worst (**<1%**) performance shows **serious inconsistency across divisions**.

Factory-wise Sales Contribution Insights

1. **Lot's O' Nuts factory** is the top contributor, generating **~55.6% of total sales**, making it the primary production driver.
2. **Wicked Choccy's factory** contributes **~40.9%**, making it the second major contributor.
3. Together, the **top 2 factories contribute ~96.5% of total sales**, showing extreme dependency on just two factories.
4. The remaining 3 factories (**Secret Factory, The Other Factory, Sugar Shack**) together contribute only **~3.5% of total sales**, which is very low.
5. **Sugar Shack** is the lowest contributor with just **~0.28% of total sales**, indicating almost negligible impact.
6. Sales distribution is **highly concentrated**, where **40% of factories (2 out of 5)** generate **over 95% of total sales**.

Profit Margin Analysis Insights

1. The highest profit margin is **Everlasting Gobstopper (80%)**, followed by **Hair Toffee (77.78%)**, showing very high profitability of products.
2. Most **Wonka Bar products** have strong margins between **~64% to 71%**, indicating they are both high-selling and highly profitable.
3. Around **8 out of 14 products (~57%) have profit margins above 60%**, showing overall strong profitability.
4. Mid-range products like **Wonka Gum (52%) and Lickable Wallpaper (50%)** still maintain decent margins.
5. The lowest profit margins are **Fun Dip (40%) and Nerds (46.67%)**, but even these are not loss-making.
6. Overall, all products have **positive profit margins (40%–80%)**, meaning the business is **highly profitable across its entire product range**.

Product Segmentation Insights

1. Only **3 out of 14 products (~21.4%) fall in the High segment**, but they contribute **~68.7% of total sales**, showing strong dominance.
2. **2 products (~14.3%) are in the medium segment**, contributing **~30.4% of total sales**, playing a supporting role.
3. The remaining **9 products (~64.3%) are in the Low segment**, but they contribute only **~0.9% of total sales**, showing very low impact.
4. This clearly follows the **Pareto principle**, where a small number of products generate most of the revenue.
5. The High segment (Wonka Bar products) is the **core driver of business performance**.
6. The Low segment contains many products but contributes **almost negligible sales**, indicating potential for removal or improvement.

SUMMARY

Overall, the analysis shows that the business is **highly concentrated and strongly growing**. A small group of top-performing products (around **20–30%**) generates the majority of revenue (**~70–90%**), while most products contribute very little. Sales are **consistently increasing year by year (~65% overall growth)**, with a clear **seasonal peak in the last quarter contributing over 50% of annual sales**. Performance across divisions and factories is **uneven**, where a few units (like the Chocolate division and top factories) drive most of the success, while others underperform significantly. At the same time, the company maintains **strong profitability (40%–80% margins across all products)**, showing an efficient pricing strategy. Overall, the business is profitable and growing, but heavily dependent on a few key products, divisions, and factories, highlighting opportunities for better balance and optimisation.